

INDIA'S ELECTRONICS GAMBIT

The Electronics Component Manufacturing Scheme has got off to a promising start. Can it push India past the assembly model to increase value addition and reduce imports?

BY NIDHI SINGAL

I **IN OCTOBER 2025**, Kaynes Semicon Pvt. Ltd. became the first Indian company to package and ship multi-chip modules to a global client, California-based Alpha and Omega Semiconductor Inc., under the India Semiconductor Mission.

Kaynes Semicon and its parent, Mysuru-based electronics manufacturer Kaynes Technology Ltd., are now aiming higher. As India sets its sights on becoming a \$500 billion electronics manufacturer by FY30, they want to climb up the electronics value chain. Kaynes Technology and Kaynes Semicon have applied under three categories of the newly launched Electronics Component Manufacturing Scheme (ECMS) to make semiconductor capacitors, full-camera modules and display modules.

“The camera solutions in the market today are mostly based on Chinese components or off-the-shelf semiconductors,” says Raghu Panicker, Chief Executive Officer of Kaynes Semicon. “With our camera module solution, we are achieving 100% localisation.”

A full-camera module includes essential components of a camera—image sensor, lens and a processing unit—all mounted on a printed circuit board (PCB). This unit goes into smartphones, smart home devices and automotive systems.

THE MISSING MIDDLE

For decades, India has been dependent on overseas suppliers for semiconductor and components that are the backbone of electronics, a potentially strategic vulnerability in times of global supply chain disruptions and crises such as the Covid-19 pandemic.

For instance, every new iPhone or smart TV rolling off an assembly line in Tamil Nadu or Uttar Pradesh's Noida is powered by a value chain that's still based abroad. In the aftermath of the pandemic, a shortage of semiconductors caused automobile production cuts and delayed deliveries.

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As of October, 249 proposals with potential investment of ₹1.15 lakh crore have been received under the scheme



The Ministry of Electronics and Information Technology has already approved seven projects worth ₹5,532 crore



The scheme aims to double the domestic value addition in electronics manufacturing from 18–20% to 35–40%